

U.S. Healthcare Services

UnitedHealth Group Inc

Rating

Outperform

Price Target



512.00 USD (492.00 OLD)



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UNH 2Q26: MA recovery on track, Optum Insights and non-MA UHC present upside; Increase PT to \$512

We remain Outperform on UNH and raise our price target to \$512 representing 20% upside. We have updated our model which improved 2026 EPS by 6% and by around 0.5% for 2027 and beyond.

We believe the UNH stock has reaped the initial bounce back of unusually low earnings and valuation, but continues to have attractive upside with 14% EPS CAGR and potential upside in Optum Insights, and potential for greater recovery in UHC Commercial and Medicaid.

Key insights from the quarter - UNH's MA turnaround is on track with margins recovering faster than projected, driven by pricing discipline and meaningful membership decline for 2026. Employer and Medicaid margins are well below target, suggesting pricing discipline for 27 and willingness to exit Medicaid markets.

Optum Insights is operating inline with expectations - we see this as presenting the greatest upside potential relative to market expectation. Optum Insights is a complex operating entity with operating efficiency businesses for hospitals & physicians and for other healthcare companies, financial services for healthcare, and the potential for AI products to improve costs, quality and outcomes in healthcare.

We are hosting a teach-in on Optum Insights on August 27th ([Click here to register](#)).

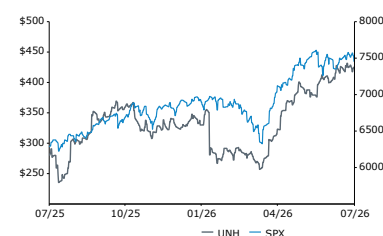
Investment Implications

We remain Outperform on UNH and raise our price target to \$512 (vs. \$492 prior). We arrive at our price target of \$512 via target P/E of 21.25x (vs. 21.5x earlier) and NTM EPS estimate of \$24.08 (vs. \$22.88 previously). UNH: [Model](#)

Close Date	17 Jul 2026			
UNH Close Price (USD)	426.09			
Price Target (USD)	512.00			
Upside/(Downside)	20%			
52-Week Range	461.62/234.60			
SPX	7,457.69			
FYE	Dec			
Div Yield	2.2%			
Market Cap (USD) (M)	386,951			
EV (USD) (M)	430,247			
Performance	YTD	1M	6M	12M
Absolute (%)	29.1	6.3	25.9	50.7
SPX (%)	8.9	0.5	7.5	18.4
Relative (%)	20.1	5.8	18.4	32.3

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
UNH (USD)	16.35	20.11	22.11	Revenues (M)	447,567	449,890	462,132	--	Adjusted P/E (x)	26.1	21.2	19.3
OLD	--	18.86	21.99	EBITDA (M)	23,325	29,797	32,018	--				
				Reported EPS	14.06	19.58	21.55	--				

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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DETAILS

Drivers to price target change

We raise our PT to \$512 from \$492, reflecting roll forward of our model and modest changes to EPS in 2027 and beyond. We slightly reduce our target price multiple to 21.25x (from 21.5x prior) and raise our NTM adj. EPS upwards to \$24.08 (vs. \$22.88 earlier)

2Q26 Summary

UNH reported 2Q26 results on July 16th with a strong beat. Adjusted EPS came in at \$6.38 for the quarter, beating consensus of \$4.89 by 30.4%. Revenues for 2Q came in at \$112.0B, 1.2% above consensus of \$110.7B. MLR was 86.7%, ~170 bps lower than consensus of 88.4%.

Guidance raise. UNH raised their FY26 guidance and now expects an adj EPS to be in the range of \$19.5 to \$20 (up from previous \$18.25+). Net earnings was raised to >\$16.75B (vs. prior of at least \$15.6B). MLR is now expected to be 88.1% +/- 25 bps (vs prior 88.8% +/- 50 bps).

Strong MLR beat. For the quarter, MLR came in at 86.7%, ~170 bps lower than consensus and 270 bps lower YoY. UNH cited that the YoY decrease was driven effective benefit design and pricing discipline, as well as member mix and medical cost management initiatives. Net medical reserve development for the quarter was \$860M.

UHC performance. UHC revenues of \$86B in 2Q26 beat consensus by 1.3% but decreased YoY by ~12 bps. UHC operating margin was 4.6% vs. 2.4% in 2Q25. UNH specified that the higher margins YoY were driven by medical and operating cost management, pricing discipline, and benefit design changes. UHC membership decreased 525K sequentially to 48.5M people in 2Q26.

Optum performance. In 1Q26, Optum revenue of \$67.2B was down -2.3% YoY but beat consensus by 3.3% and grew 3% QoQ. Optum Health revenue was \$23.5B (down 5.1% YoY), Optum Insights revenue was \$5.4B (up 3.2% YoY), and Optum Rx saw revenue of \$38.3B (down 0.4% YoY). All three sub-segments beat consensus by 1.1%, 2.1%, and 1.7%, respectively. Optum Health adj operating margin was 5.1%, driven by strong operational improvements and medical cost management. The YoY decrease in Optum Health revenues was driven primarily by ~700K fewer VBC care patients served.

INSIGHTS FROM THE CALL OR FOLLOW-UP DISCUSSIONS

Our top takeaways from the quarter

Medicare Advantage turnaround is performing well, and drives the guidance raise. Pricing discipline is the story here, with the significant membership declines in 2026 driving faster than expected margin recovery, a relationship which makes sense to us. The guidance raises are largely in line with our prior estimates, so our projections beyond 2027 increases only modestly.

Commercial margins are facing headwinds related to higher medical cost trend (11+%), although expectations are reflected in updated guidance. Commercial margins are running at 4% vs target of 7% and Medicaid is running at ~1% or lower, both of which represent upside to future earnings growth.

Optum Insights is operating inline with expectations - we see this as presenting the greatest upside potential relative to market expectation. Optum Insights is a complex operating entity with operating efficiency businesses for hospitals & physicians, and for other healthcare companies, financial services for healthcare, and the potential for AI products to improve costs, quality and outcomes in healthcare. We are hosting a teach-in on Optum Insights on August 27th ([Click here to register](#)).

The UNH stock has reaped the initial bounce back of unusually low earnings and valuation, but continues to have attractive upside with 14% EPS CAGR and potential upside in Optum Insights and greater recovery in UHC Commercial and Medicaid and in Optum Insights.

UHC MA

MA delivered a strong 2Q, and UNH expects FY26 MA enrollment to decline by 1.1M and for 2026 margins to land above 3%.

Cost trend - Management highlighted that MA medical cost trend remains elevated versus historic levels, but is running below their benefit planning assumptions. They now expect 2026 Medicaid cost trend to come in below their initial estimates of ~10%. The company specifically mentioned that positive claims experience, milder respiratory and weather patterns, and prior year development, were slight tailwinds to the improved cost trend. At the same time, management largely attributed efforts in benefit design and product positioning (resulting in more favorable membership mix), as well as network curation activities as drivers of why the cost trend to date is lower than their original expectations. The company continues to be focused on affordability and management stressed they do not view this as an inflection in underlying utilization and expect core trends to stay high into 2027 — even as they feel comfortable with current 2026 assumptions.

Update on Stars - Management reiterated that Stars remain strategically critical, but given where they are in the measurement and appeals cycle and ongoing industry litigation, they did not want to speculate on Star Year 26-27 outcomes. They noted that industry-wide scores for 2026 are at their lowest level in about a decade.

Optum Health

Optum Health delivered another quarter of improved care management and tighter operating discipline, with revenues of \$23.5B (1% beat), and a 5.1% operating margin (290 bps higher than consensus). The company attributed the better-than-expected 1H26 margins to better medical performance from care management initiatives (including roughly 10% lower hospitalizations in early markets) and operating investments that expanded access, boosted provider productivity, and raised patient satisfaction. Sales of underperforming and non-strategic PCP practices is taking longer than expected and is forecast to be completed in 2H26.

The business is leaning into its integrated VBC model, now reaching nearly 90% of U.S. counties and performing about 2.5M rural home visits annually. At the same time, the company is rolling out AI-enabled tools such as ambient clinical documentation, which is available to 70% of employed providers today and is on track to exceed 90% by year-end. They are also collaborating earlier with payer partners on 2027 benefit planning.

Management expects nearly all Optum Health earnings to be recognized in 1H26, with only modest profit in 3Q and modest losses in 4Q due to the seasonality of the risk-based business.

UHC Medicaid

UNH's Medicaid business performed in line with expectations in 2Q26, with 1H26 results benefiting from affordability actions such as network curation, payment integrity work, fraud/waste/abuse efforts, and tighter operating cost disciplines. Management highlighted that medical cost trend remains elevated versus pre-pandemic levels but broadly stable. The company continues to see pressure in specialty pharmacy, home and community-based services, behavioral health, and increasingly in inpatient and SNF costs for complex populations. Additionally, they are working with states on on-cycle and off-cycle rate actions, and continue to expect annualized 2026 rate impacts of 6-7%. That said, rates still lag the elevated trend and UNH still expects margins of -1% to -1.7% in 2026.

UHC Commercial & Individual

In 2Q26, Commercial continued to show weakness, with medical cost running modestly above the prior ~11% trend expectation and putting pressure on its margin recovery path. Management cited several structural headwinds: (1) an increasingly ineffective No Surprises Act IDR process that is being “exploited by select providers and select geographies” and now adds roughly 50 bps of incremental trend in 2026; (2) more aggressive provider billing and coding intensity across office, ED and other sites of care; and (3) persistent specialty drug inflation, including anti-inflammatories and GLP-1s. The company reiterated that they are not yet seeing any meaningful offsetting pullback in utilization, and while they still aim to return commercial group margins toward their historical ~7%+ level, they now frame 2026 as a delay rather than a step forward in that journey, pushing full normalization beyond 2027. That said, UNH continues to be focused on improving administrative efficiency, AI-enabled fraud/waste/abuse capabilities, and ongoing affordability initiatives to gradually close that gap.

Optum Insight

Optum Insight came in line for 2Q26, continuing its multiyear reinvestment cycle while building a pipeline of AI-enabled coding, real-time payer-provider interfaces, and clinical quality/safety tools that management believes positions the business to help modernize and simplify the healthcare system. Management expects ~55% of Optum Insight earnings to come in 2H26 as client implementations ramp and growth investments scale.

Optum Rx

Optum Rx similarly perform in line during 2Q26, with management highlighting strong client retention % in the high-90s and positive feedback on its ongoing shift toward transparent, fee-based pharmacy services. The segment is leaning into a new per-member-per-month (PMPM) pharmacy care model with full PBM and GPO fee transparency and enhanced consumer tools, building on its commitment to move more than 95% of clients to 100% rebate pass-through by year-end 2026, and its earnings are expected to be second-half weighted alongside Optum Insight as implementations and growth investments ramp.

AI initiatives

UHC - For UHC, management framed AI as a core enabler of its modernization agenda, already embedded in almost every member and provider interaction to provide predictive insights to advocates, automate complex claims with higher accuracy, support real-time underwriting, and move toward processing 80% of prior authorizations in real time by 2027. In fact, efficiency gains are expected to build into 2027 and become more meaningful for 2028 and beyond. The company emphasized that while AI will drive substantial administrative savings and allow more targeted utilization management, clinical decisions will continue to be made by clinicians and contact centers will remain staffed to support more concierge-like human interactions.

Optum - For Optum, management described AI as a transformational, durable lever that simultaneously improves economics and experiences. Management noted AI's ability to boost administrative efficiency, highlighting that AI enabled a 40% faster case summarization for nurse care managers and a digital prior auth product with a 96% first pass approval rate. The company also sees AI providing clinical support via ambient documentation tools. In fact, management underlined that in 70% of employed Optum Health clinicians have access to the AI-based ambient listening, with UNH targeting 90% by year-end. Management also highlighted that about 1/3 of this year's AI investment is aimed at commercializing internal solutions into external Optum products. This would then create a pathway for AI to contribute increasingly to Optum's revenue and margin expansion over 2027-28. They spotlighted their digital prior auth platform as an example, citing that it has already processed roughly half a million prior authorizations and saved about 69,000 administrative hours for external customers.

Other

Earnings cadence - UNH continues to expect earnings to be weighted 2/3 to the first half and 1/3 to the second half. For UHC specifically, management expects ~75% in 1H26. For Optum Health, they expect nearly all earnings in 1H26. On the other hand, Optum Insight and Optum Rx are expected to be more back half weighted.

Optum Health Teach-in - We held a teach-in on UNH's Optum Health recently to provide a view inside the black box including a review of Optum Health, its businesses, its clinical model, and economic drivers. We summarize the teach-in in our note - [UnitedHealth \(UNH\): A summary of our teach-in on Optum Health](#)

Model changes - We have further updated our model to account for the 2Q 2026 earnings. We lowered revenues by ~2% over FY26 to FY 29 while MLR was lowered by 10bps over the forecast years, reflecting pricing discipline. Our adj. EPS for FY 2026 improved by 6.6% for FY26, and FY27 and beyond were increased by around 0.5%.

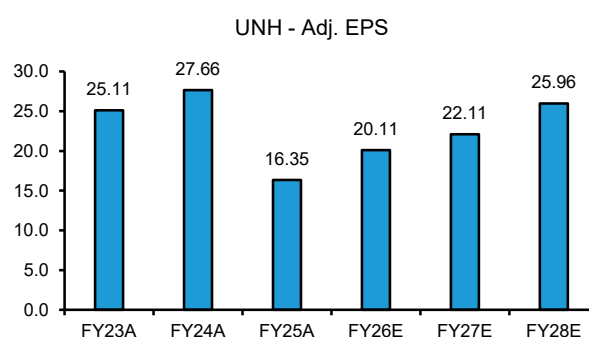
UHC operating margin expectation largely remained the same vs. our earlier estimates (3.5% in FY26 moving up to 4.9% in FY30). Our expectations for Optum went up by 40bps for FY26 with 10-30 bps improvements in later years. Optum Health operating earnings improved to 2.46% vs. 1.84% earlier for FY26 with 20-30 bps improvements during FY27-FY30. Optum Insight improved to 22.3% vs. 21.7% earlier, while we moved to estimates to 22% for FY27-FY30 from 22.9% previously. Optum Rx was largely in-line with our earlier estimates.

Investment Thesis

We are Outperform on UNH with 20% upside potential based on potential for continued strong earnings growth.

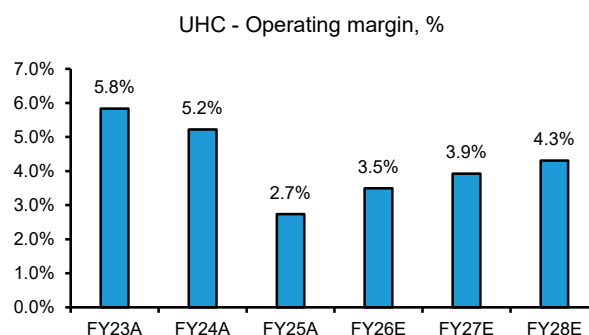
We see 1) a sector turnaround as MA and Medicaid recover from trough margins following the MA rate shock and withdrawal of competition; 2) company-specific margin turnaround as UNH exits unprofitable MA and Optum Health products; 3) UNH valuation is attractive given our expectation for strong EPS growth recovery over the next 4 years.

EXHIBIT 1: UNH - Adj. EPS



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 2: UHC - Operating margins



Source: Company reports, Bernstein analysis and estimates

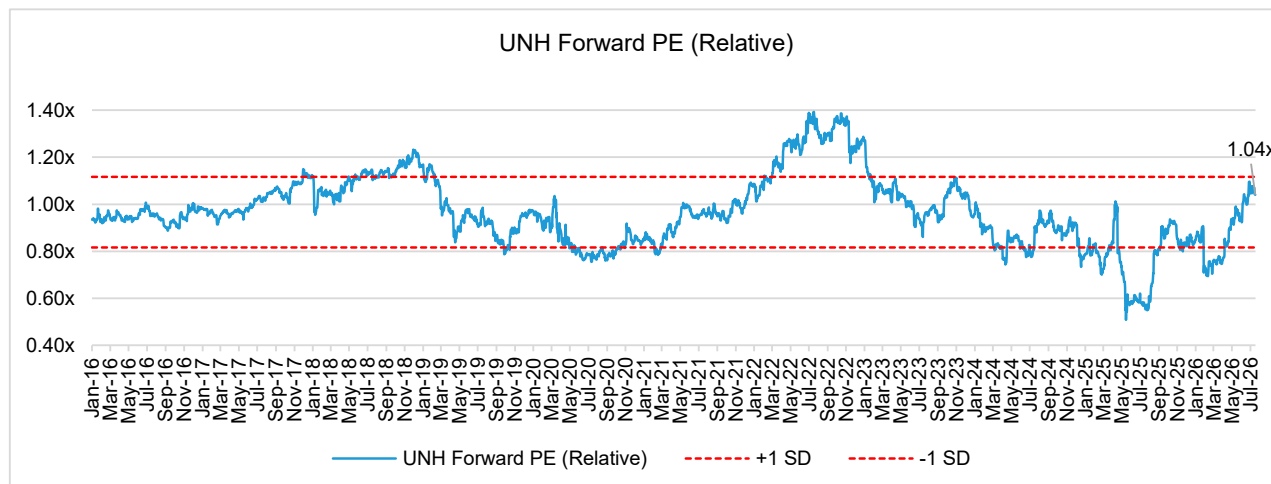
We expect UHC recovery in '26 - '28 driven by MA

UHC margins were down 48% (2.5% on an absolute basis) in '25, while revenues were up 16% driven by MA mispricing, along with pressure in other lines. We expect '26 MA membership to decline 12+%, from pricing discipline driving UHC revenues down 3%, and UHC earnings up 16% YoY. We expect 2027 will continue to see incremental MA margin progress, albeit somewhat lower, through pricing discipline (benefit cuts and network cost management).

Valuation - UNH's multiple had recovered rapidly since August, led by expectations for MA margin recovery driven by pricing discipline and reduced competition. Valuations dropped after CMS released MA advanced rates for 2027, leading to a fall in relative P/E multiple to 0.71x. Following the higher-than-expected MA final rate and beat and raise in 1Q26 and in 2Q26, UNH's relative P/E multiple has recovered to ~1.0x (levels last seen around October 2025). On an absolute basis, UNH is trading at a P/E multiple of ~21x.

We expect upside drivers for UNH (including MA margin recovery driven by pricing discipline and reduced competition) to enable multiple years of strong EPS growth. The same factors will drive the recovery within Optum Health's VBC business. While the pace of recovery may vary, we expect several years of outsized EPS growth. We see UNH valuation as modestly discounted vs the SPX.

EXHIBIT 3: **UNH Relative NTM PE**



Source: Bloomberg, Bernstein analysis

2Q 2026 RESULTS

EXHIBIT 4: UnitedHealth 2Q 2026 Result vs. Bernstein and Consensus Estimates

	Reported Actual	Bernstein Forecast	Consensus Mean	% vs Bernstein	% vs Consensus	Comparison			
		2Q 2026				2Q 2025	YoY Growth	1Q 2026	QoQ Growth
Revenues									
Premiums	86,956	87,787	86,271	(0.9%)	0.8%	87,905	(1.1%)	87,561	(0.7%)
Services	10,018	10,420	9,483	(3.9%)	5.6%	9,039	10.8%	9,779	2.4%
Products	13,835	14,583	14,074	(5.1%)	(1.7%)	13,564	2.0%	13,250	4.4%
Investment and other Income	1,223	974	982	25.5%	24.5%	1,108	10.4%	1,131	8.1%
United Healthcare	86,017	87,173	84,911	(1.3%)	1.3%	86,103	(0.1%)	86,265	(0.3%)
Optum	65,663	65,683	65,100	(0.0%)	0.9%	67,225	(2.3%)	63,749	3.0%
Eliminations	(39,648)	(39,092)	(39,336)	1.4%	0.8%	(41,712)	(4.9%)	(38,293)	3.5%
Optum Health	23,472	24,178	23,218	(2.9%)	1.1%	24,725	(5.1%)	24,109	(2.6%)
Optum Insight	5,402	5,229	5,292	3.3%	2.1%	5,232	3.2%	5,125	5.4%
Optum Rx	38,292	37,535	37,646	2.0%	1.7%	38,459	(0.4%)	35,736	7.2%
Optum Elimination	(1,503)	(1,258)	(1,204)	19.5%	24.9%	(1,191)	26.2%	(1,221)	23.1%
Total Revenues	112,032	113,764	110,675	(1.5%)	1.2%	111,616	0.4%	111,721	0.3%
<u>Membership ('000)</u>									
Total Commercial	29,920	29,701	29,634	0.7%	1.0%	29,970	(0.2%)	30,065	(0.5%)
Risk-based	7,655	7,339	7,344	4.3%	4.2%	8,440	(9.3%)	7,725	(0.9%)
Fee-based (excl. Tricare)	22,265	22,362	22,275	(0.4%)	(0.0%)	21,530	3.4%	22,340	(0.3%)
Government	18,605	18,838	18,667	(1.2%)	(0.3%)	20,145	(7.6%)	18,985	(2.0%)
Medicare Advantage	7,565	7,479	7,444	1.1%	1.6%	8,350	(9.4%)	7,555	0.1%
Medicaid	6,780	7,088	6,958	(4.4%)	(2.6%)	7,490	(9.5%)	7,160	(5.3%)
Medicare Supplement	4,260	4,270	4,266	(0.2%)	(0.1%)	4,305	(1.0%)	4,270	(0.2%)
Total Domestic	48,525	48,539	48,871	(0.0%)	(0.7%)	50,115	(3.2%)	49,050	(1.1%)
International (HFS)	1,145	1,160	1,053	-	8.7%	1,165	(1.7%)	1,160	(1.3%)
Total	49,670	49,699	49,924	(0.1%)	(0.5%)	51,280	(3.1%)	50,210	(1.1%)
<u>Optum Rx</u>									
Adj. Scripts Volume (mn)	387	387	384	(0.0%)	0.7%	414	(6.5%)	383	1.2%
Revenue per Rx (\$)	99	90	na	10.4%	na	85	15.9%	84	18.2%
Operating Costs									
Medical Costs	75,358	77,253	76,274	(2.5%)	(1.2%)	78,585	(4.1%)	73,489	2.5%
Operating Costs	14,268	14,789	13,875	(3.5%)	2.8%	13,778	3.6%	15,390	(7.3%)
Cost of Products Sold	13,375	14,014	13,212	(4.6%)	1.2%	13,019	2.7%	12,823	4.3%
Depreciation and Amortization	1,040	1,018	979	2.2%	6.2%	1,084	(4.1%)	1,029	1.1%
Total Operating Costs	104,041	107,074	104,177	(2.8%)	(0.1%)	106,466	(2.3%)	102,731	1.3%
Earnings from Operations	7,991	6,690	6,525	19.4%	22.5%	5,150	55.2%	8,990	(11.1%)
Adj. Net Earnings	5,792	4,727	4,440	22.5%	30.5%	3,716	55.9%	6,578	(11.9%)
Diluted share count	906	905	908	0.1%	(0.2%)	910	(0.4%)	910	(0.4%)
Diluted EPS	6.04	4.88	4.63	23.8%	30.4%	3.74	61.5%	6.90	(12.5%)
Adjusted Diluted EPS	6.38	5.22	4.89	22.2%	30.4%	4.08	56.2%	7.23	(11.7%)
Medical Cost Ratio (%)	86.7%	88.0%	88.4%	-130 bps	-171 bps	89.4%	-270 bps	83.9%	277 bps
Cost of Products Ratio (%)	96.7%	96.1%	93.9%	58 bps	280 bps	96.0%	69 bps	96.8%	-10 bps
SG&A Expense Ratio (%)	12.7%	13.0%	12.5%	-26 bps	20 bps	12.3%	39 bps	13.8%	-104 bps
Adj. Net Margin	5.2%	4.2%	4.0%	101 bps	116 bps	3.3%	184 bps	5.9%	-72 bps
Operating Margin	7.1%	5.9%	5.9%	125 bps	124 bps	4.6%	252 bps	8.0%	-91 bps

Source: Company data, Bloomberg, and Bernstein analysis and estimates

EXHIBIT 5: UNH 2026 Guidance

UNH Guidance for 2026	Guidance on 01/27/2026	Guidance on 04/21/2026	Guidance on 07/16/2026	Bernstein estimate	Recent Consensus
Revenue (\$ bn)	>\$439	-	-	\$453	\$444
GAAP diluted earnings (\$ mn)	>\$15,600	>\$15,800	>\$16,750	\$15,799	\$15,828
Adjusted diluted earnings (\$ mn)	-	-	-	\$17,049	\$16,647
MLR	88.8% +/- 50 bps	-	88.1% +/- 25 bps	88.22%	88.55%
GAAP diluted earnings per share (\$)	>\$17.10	>\$17.35	\$18.45 - \$18.95	\$17.43	\$17.25
Adjusted diluted earnings per share (\$)	>\$17.75	>\$18.25	\$19.50 - \$20.00	\$18.86	\$18.43
Cash flows from Operations (\$ bn)	>\$18.00	-	~\$24.0	\$30.01	\$23.85
Segments:					
UnitedHealthcare					
Revenues (\$ mn)	>\$335,000	-	-	\$348,704	\$339,847
Operating Earnings (\$ mn)	>\$10,800	-	>\$12,000	\$11,980	\$10,877
Optum Total					
Revenues (\$ mn)	>\$257,500	-	-	\$261,979	\$263,156
Operating Earnings (\$ mn)	>\$13,200	-	>\$13,450	\$12,235	\$12,026
Optum Health					
Revenues (\$ mn)	>\$91,000	-	-	\$94,425	\$93,603
Operating Earnings (\$ mn)	>\$2,200	-	>\$2,275	\$1,740	\$1,841
Optum Insight					
Revenues (\$ mn)	>\$21,000	-	-	\$21,106	\$21,152
Operating Earnings (\$ mn)	>\$4,750	-	>\$4,925	\$4,588	\$4,746
Optum Rx					
Revenues (\$ mn)	>\$150,500	-	-	\$151,466	\$152,186
Operating Earnings (\$ mn)	>\$6,250	-	>\$6,250	\$5,906	\$6,281

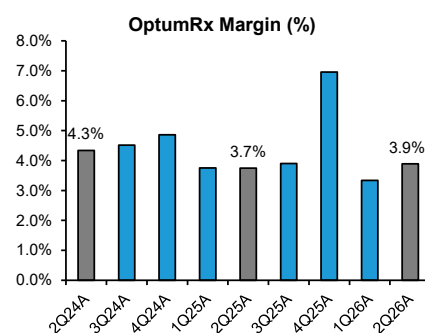
Source: Company data, Bernstein analysis and estimates

OPTUM BUSINESS OVERVIEW - 2Q 2026:

Optum revenue of \$65.7 billion was down by 2.3% YoY, with Optum Health revenue down 5.1%, Optum Rx -0.4%, and Optum Insight at +3.2%.

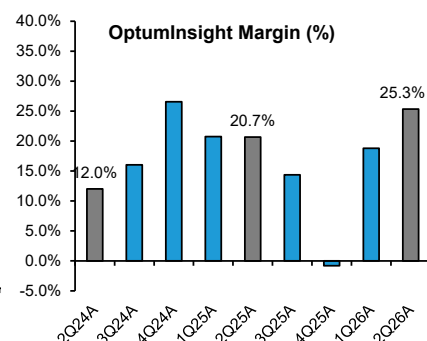
Optum operating margin was 6.2% in 2Q26 vs. 4.6% in 2Q25.

EXHIBIT 6: OptumRx Op. Margin



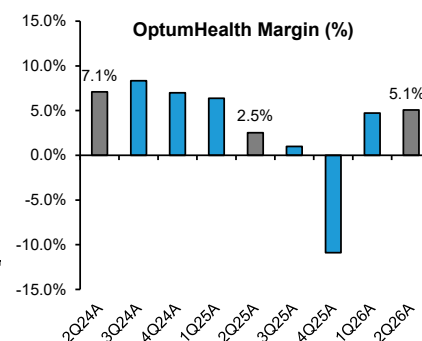
Source: Company reports, Bernstein analysis

EXHIBIT 7: OptumInsight Op. Margin

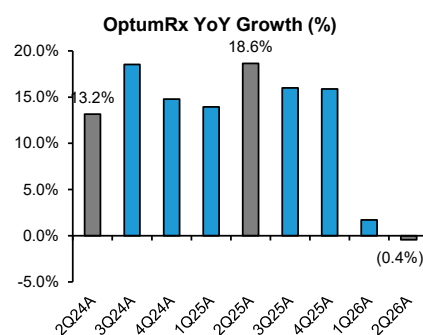


Source: Company reports, Bernstein analysis

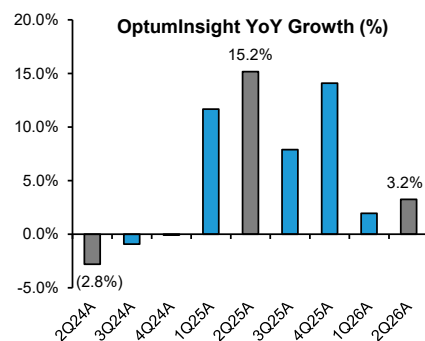
EXHIBIT 8: OptumHealth Op. Margin



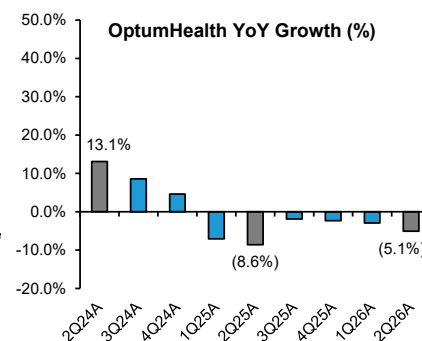
Source: Company reports, Bernstein analysis

EXHIBIT 9: **OptumRx YoY Revenue Growth**

Source: Company reports, Bernstein analysis

EXHIBIT 10: **OptumInsight YoY Revenue Growth**

Source: Company reports, Bernstein analysis

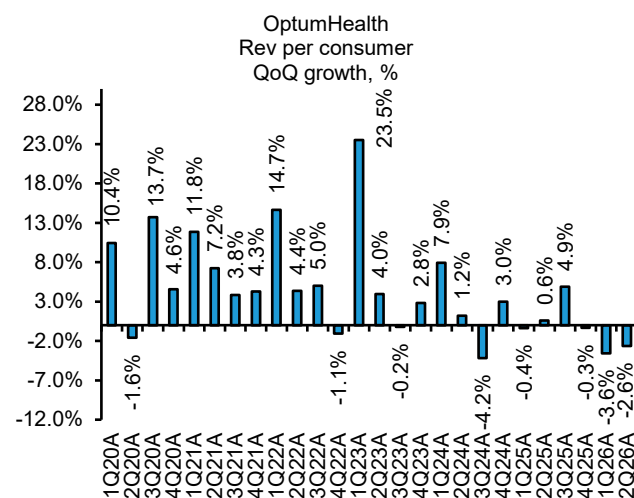
EXHIBIT 11: **OptumHealth YoY Revenue Growth**

Source: Company reports, Bernstein analysis

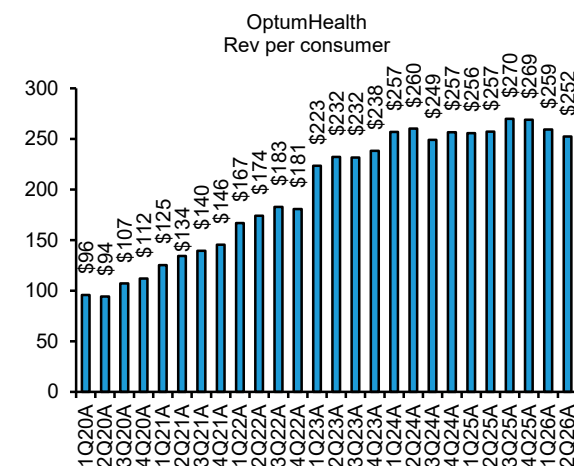
EXHIBIT 12: **UNH Segments**

	restated	restated	restated	restated	restated	
Optum Operating Profit	1Q 25A	2Q 25A	3Q 25A	4Q 25A	1Q 26A	2Q 26A
OptumHealth	1,411	429	41	-2,996	1,141	1,190
OptumInsight	1,164	1,205	920	172	963	1,369
OptumRx	1,318	1,441	1,549	2,885	1,192	1,490
Total Optum	3,893	3,075	2,510	61	3,296	4,049
						YoY Change
Optum Margin, %	1Q 25A	2Q 25A	3Q 25A	4Q 25A	1Q 26A	1Q 26A
OptumHealth	5.7%	1.7%	0.2%	-12.0%	4.6%	5.1%
OptumInsight	23.2%	23.0%	17.3%	3.2%	19.2%	25.3%
OptumRx	3.8%	3.7%	3.9%	7.0%	3.4%	3.9%
Total Optum	6.1%	4.6%	3.6%	0.1%	5.2%	6.2%
						YoY Change
Optum Revenue	1Q 25A	2Q 25A	3Q 25A	4Q 25A	1Q 26A	2Q 26A
OptumHealth	24,837	24,725	25,422	25,067	24,837	23,472
OptumInsight	5,027	5,232	5,320	5,455	5,027	5,402
OptumRx	35,132	38,459	39,679	41,456	35,132	38,292
Eliminations	-1,111	-1,191	-1,244	-1,645	-1,111	-1,503
Total Optum	63,885	67,225	69,177	70,333	63,885	65,662
						YoY Change

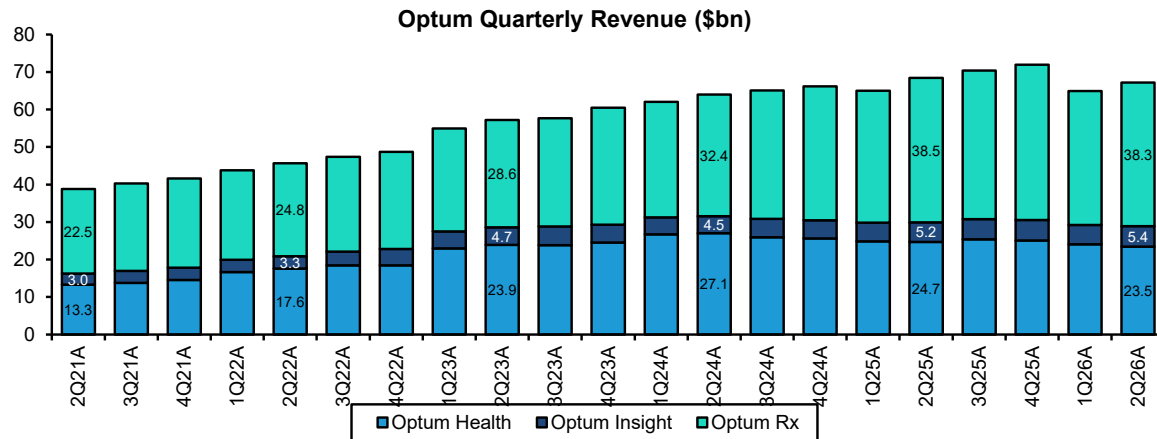
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 13: **Optum Health, Rev/Consumer QoQ Growth**

Source: Company reports, Bernstein analysis

EXHIBIT 14: **OptumHealth, Rev per consumer**

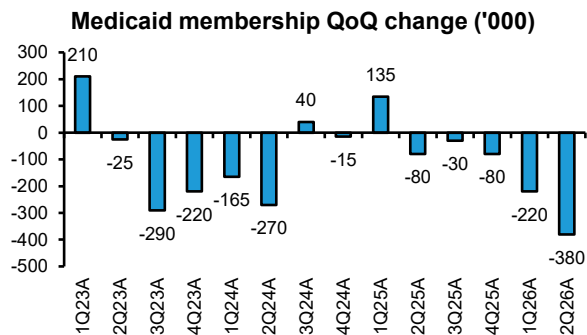
Source: Company reports, Bernstein analysis

EXHIBIT 15: **Optum Quarterly Revenue (\$bn)**

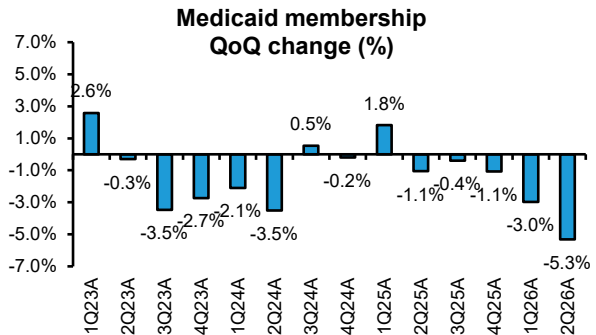
Source: Company reports, Bernstein analysis

MEMBERSHIP OVERVIEW - 2Q 2026

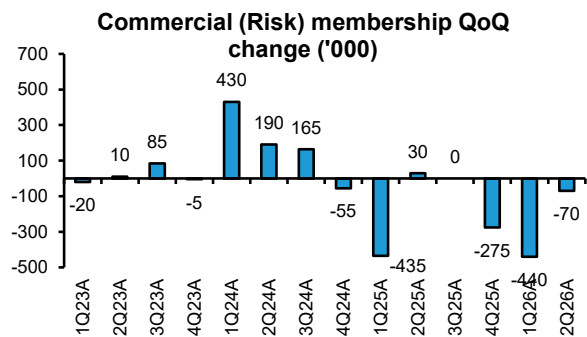
Medicaid membership decreased by 5.3% QoQ (-380k members, vs. 1Q26). Commercial membership was down by 0.5% QoQ, MA membership was up slightly by 0.1% (-10k members).

EXHIBIT 16: **Medicaid enrollment changes (QoQ, '000)**

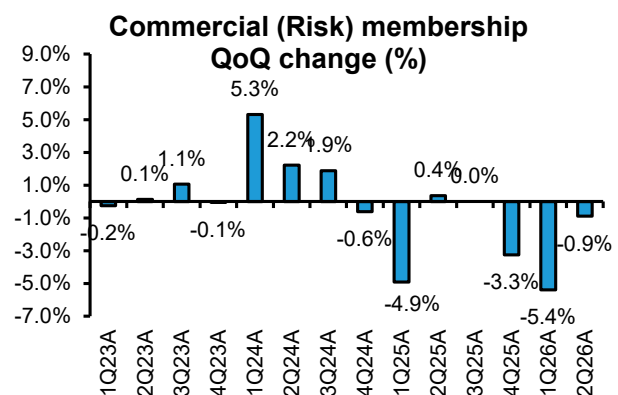
Source: Company reports, Bernstein analysis

EXHIBIT 17: **Medicaid enrollment changes (QoQ, %)**

Source: Company reports, Bernstein analysis

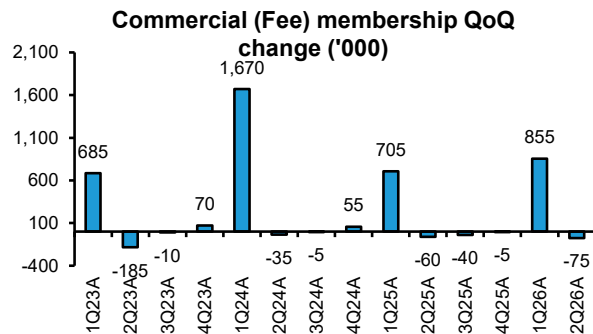
EXHIBIT 18: **Commercial memb change - Risk (QoQ, '000)**

Source: Company reports, Bernstein analysis

EXHIBIT 19: **Commercial memb change - Risk (QoQ, %)**

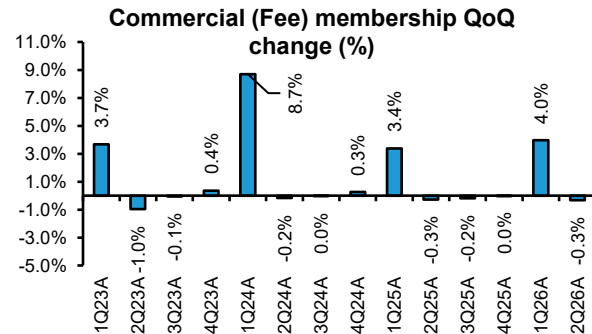
Source: Company reports, Bernstein analysis

EXHIBIT 20: Commercial memb change - Fee (QoQ, '000)



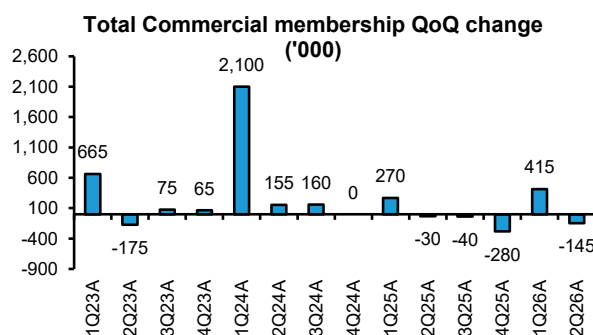
Source: Company reports, Bernstein analysis

EXHIBIT 21: Commercial memb change - Fee (QoQo, '000)



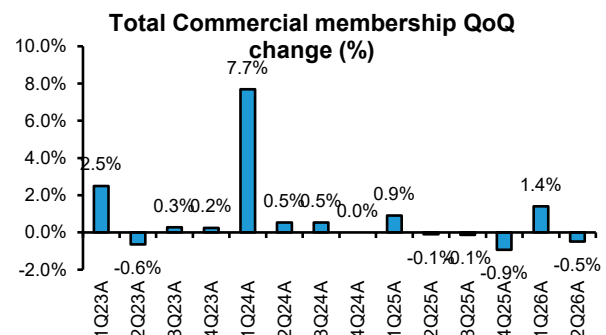
Source: Company reports, Bernstein analysis

EXHIBIT 22: Commercial memb change - Total (QoQ, '000)



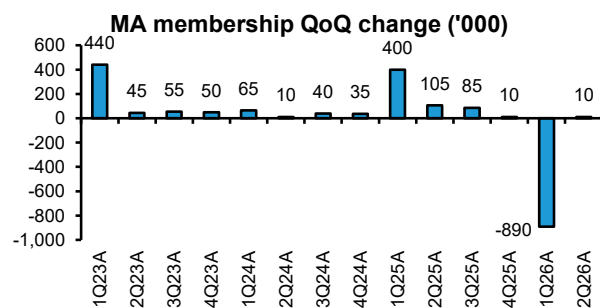
Source: Company reports, Bernstein analysis

EXHIBIT 23: Commercial memb change - Total (QoQ, %)



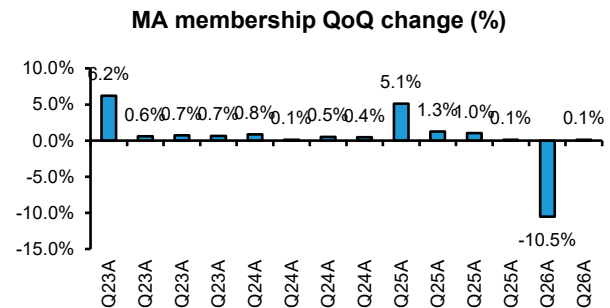
Source: Company reports, Bernstein analysis

EXHIBIT 24: MA Enrollment changes (QoQ, '000)



Source: Company reports, Bernstein analysis

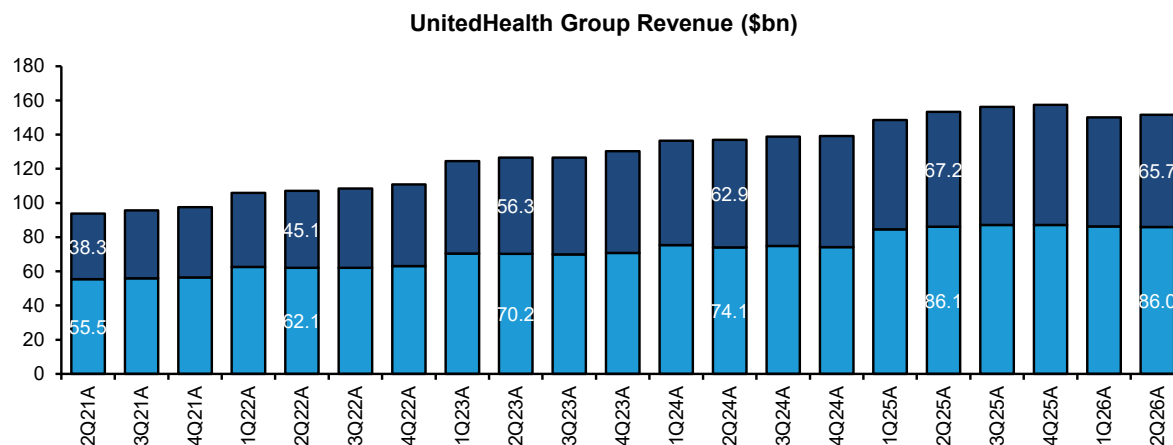
EXHIBIT 25: MA Enrollment changes (QoQ, %)



Source: Company reports, Bernstein analysis

UnitedHealth Group reported total revenues of \$112B, (-1.5% vs. Bernstein estimate, +1.2% vs. consensus) and adjusted earnings from operations of \$7.99B (+26.8% vs. consensus). Group adjusted net margin was 5.2%.

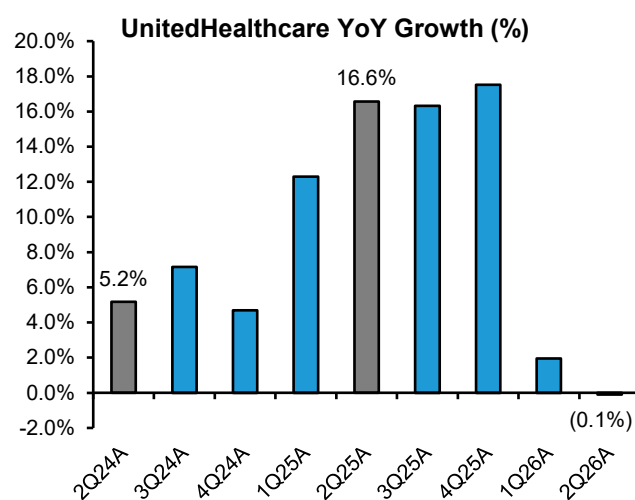
EXHIBIT 26: **UnitedHealth Group Quarterly Revenue**



Revenues include eliminations

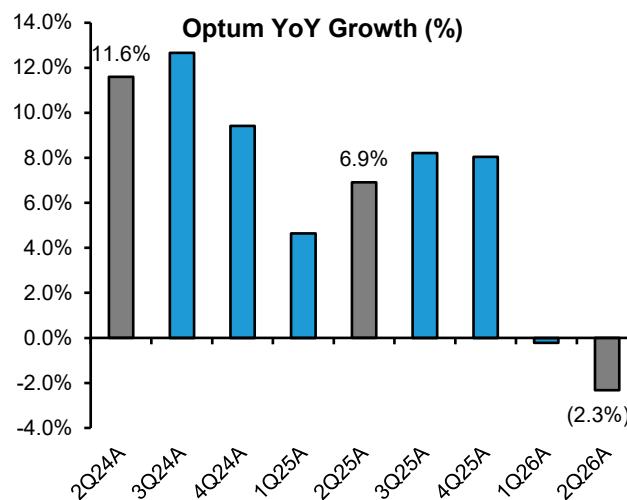
Source: Company reports, Bernstein analysis

EXHIBIT 27: **UnitedHealthcare YoY Revenue Growth**



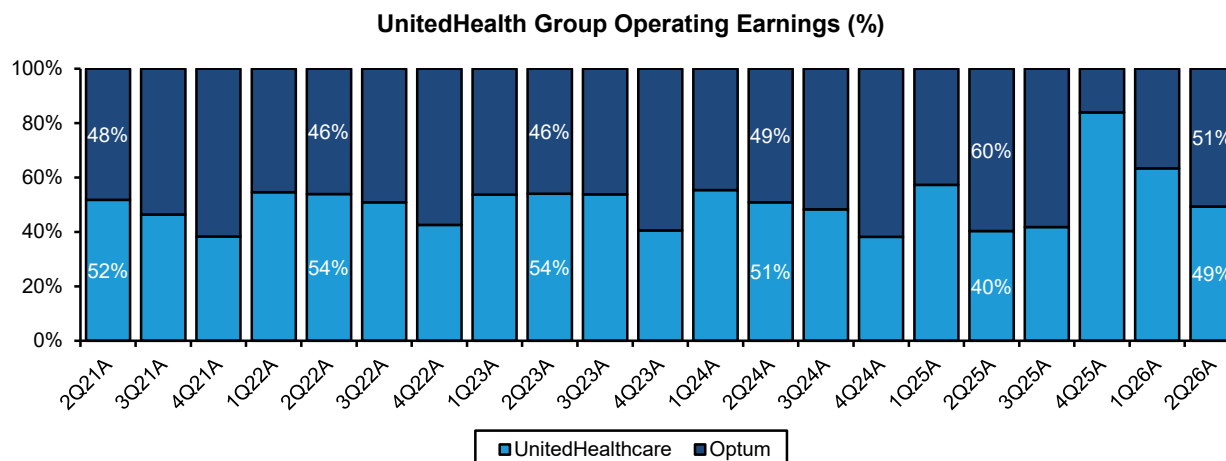
Source: Company reports, Bernstein analysis

EXHIBIT 28: **Optum YoY Revenue Growth**



Source: Company reports, Bernstein analysis

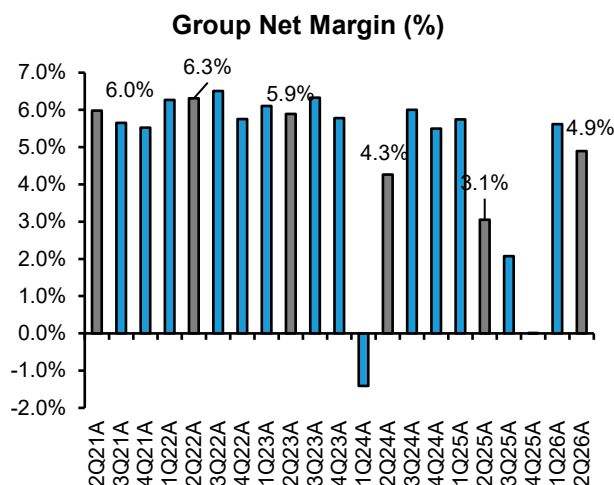
Optum represented 51% of company earnings in 2Q26 (vs. 60% in 2Q25).

EXHIBIT 29: **Optum growth as percentage of UNH earnings**

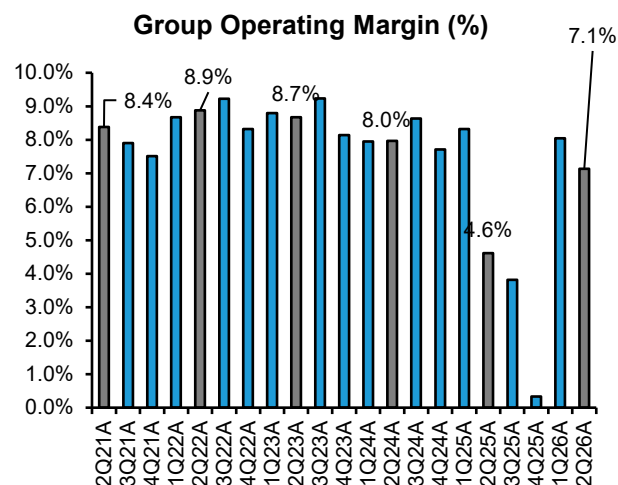
Source: Company reports, Bernstein analysis

UnitedHealth Group operating earnings were \$8 bn

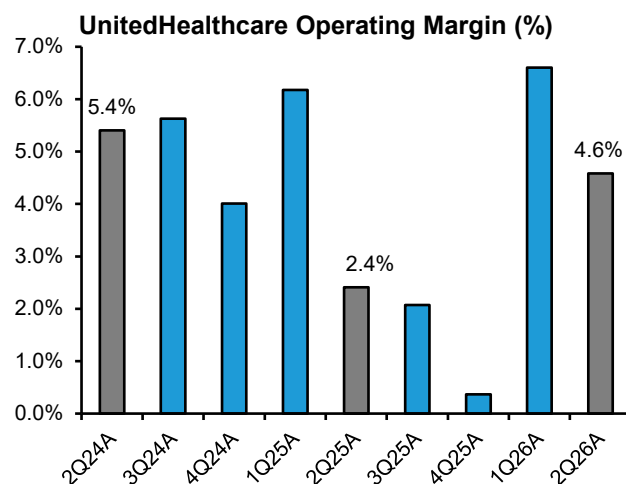
- UnitedHealthcare's earnings from operations of \$3.9 bn, with 4.6% operating margin and adj. operating margin
- Optum's reported earnings from operations of \$4.05 bn, with 6.2% operating margin, 6.1% adj. operating margin

EXHIBIT 30: **UnitedHealth Group Net Margin**

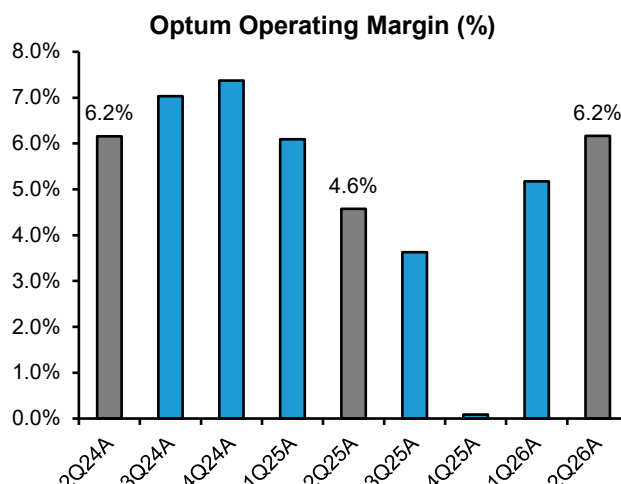
Source: Company reports, Bernstein analysis

EXHIBIT 31: **UnitedHealth Group Operating Margin**

Source: Company reports, Bernstein analysis

EXHIBIT 32: **UnitedHealthcare Operating Margin**

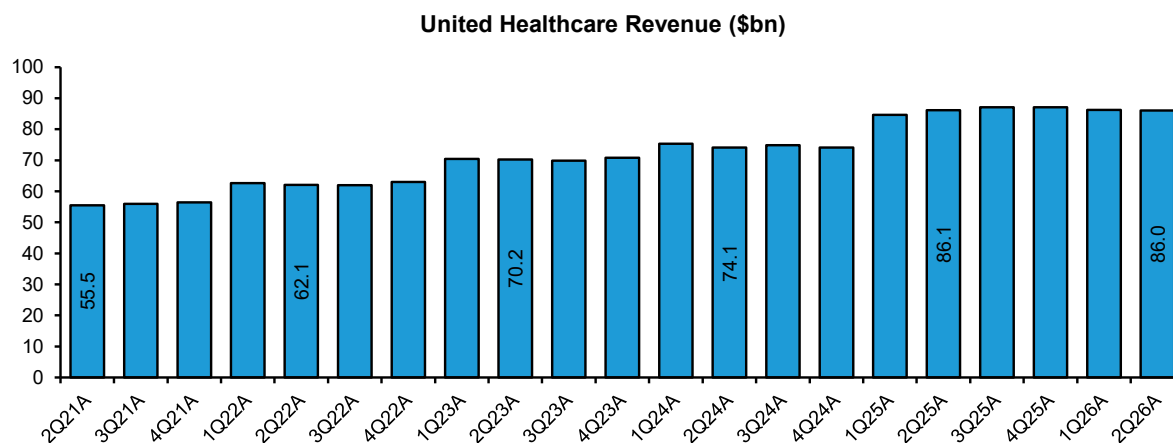
Source: Company reports, Bernstein analysis

EXHIBIT 33: **Optum Operating Margin**

Source: Company reports, Bernstein analysis

UnitedHealthcare Medicaid membership declines

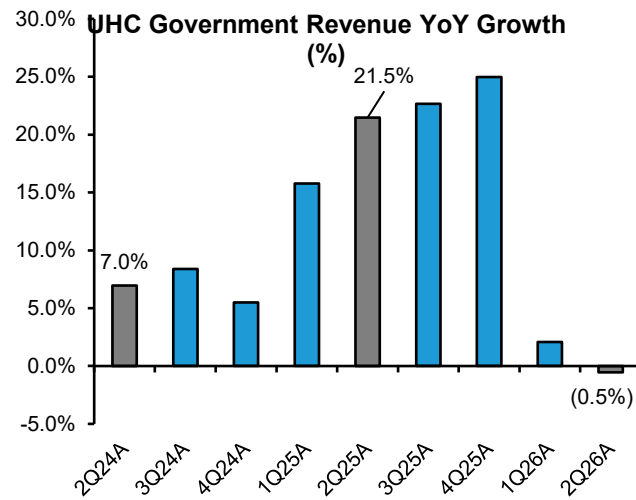
- During the quarter, UnitedHealthcare served 48.525 k domestic medical members QoQ.
- The Government business recorded ~380k decrease in membership QoQ out of which 10k was an increase in MA, and 380k reduction in Medicaid and 10k reduction in Medicare supplement members. Commercial business recorded reduction of 145k in membership QoQ.
- At the end of 2Q 2026, UnitedHealthcare had ~29.92 million commercial members and ~18.6 million public and senior members.

EXHIBIT 34: **UnitedHealthcare Quarterly Revenue**

Source: Company reports, Bernstein analysis

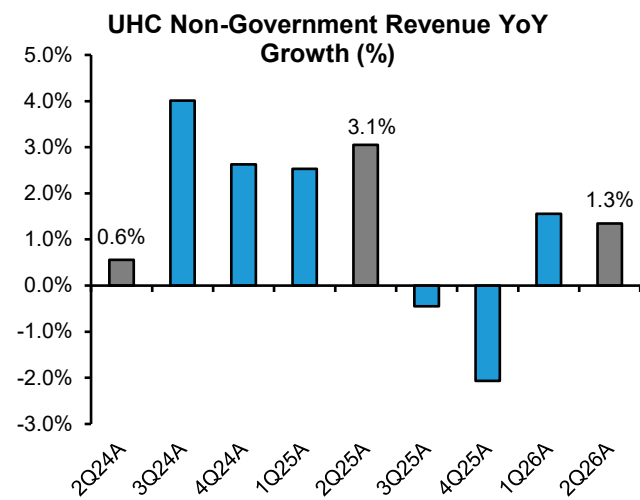
- Government revenue was down 0.5% YoY at the end of 2Q 2026 and non-government revenue was +1.3% YoY.

EXHIBIT 35: UHC Government YoY Revenue Growth



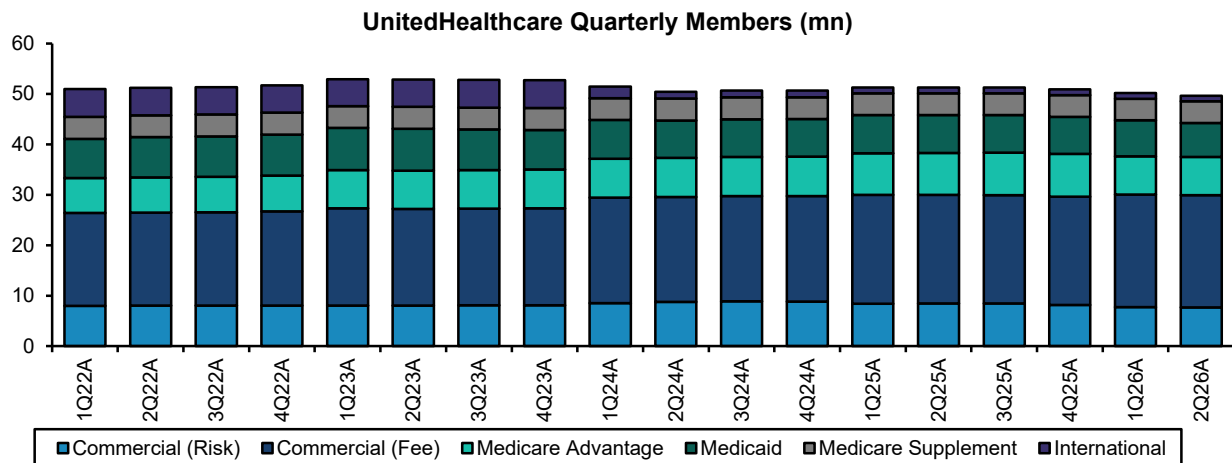
Source: Company reports, Bernstein analysis

EXHIBIT 36: UHC Non-Government YoY Revenue Growth



Source: Company reports, Bernstein analysis

EXHIBIT 37: UnitedHealthcare Quarterly Membership by Segment



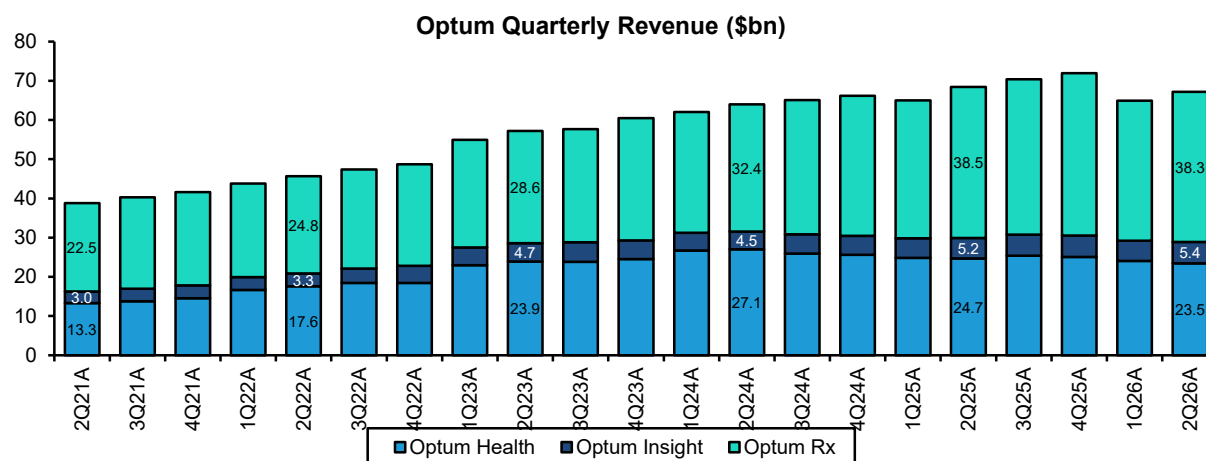
Source: Company reports, Bernstein analysis

EXHIBIT 38: **UnitedHealthcare Quarterly Membership**

('000)	1Q23A	2Q23A	3Q23A	4Q23A	1Q24A	2Q24A	3Q24A	4Q24A	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A
Total Commercial	27,350	27,175	27,250	27,315	29,415	29,570	29,730	29,730	30,000	29,970	29,930	29,650	30,065	29,920
Risk-based	8,025	8,035	8,120	8,115	8,545	8,735	8,900	8,845	8,410	8,440	8,440	8,165	7,725	7,655
Fee-based	19,325	19,140	19,130	19,200	20,870	20,835	20,830	20,885	21,590	21,530	21,490	21,485	22,340	22,265
Commercial Group														
Government	20,245	20,275	20,055	19,895	19,765	19,515	19,600	19,615	20,125	20,145	20,195	20,110	18,985	18,605
Medicare Advantage	7,545	7,590	7,645	7,695	7,760	7,770	7,810	7,845	8,245	8,350	8,435	8,445	7,555	7,565
Medicaid	8,380	8,355	8,065	7,845	7,680	7,410	7,450	7,435	7,570	7,490	7,460	7,380	7,160	6,780
Medicare Supplement	4,320	4,330	4,345	4,355	4,325	4,335	4,340	4,335	4,310	4,305	4,300	4,285	4,270	4,260
International	5,295	5,385	5,475	5,540	2,295	1,330	1,335	1,330	1,160	1,165	1,160	1,160	1,160	1,145
Total	52,890	52,835	52,780	52,750	51,475	50,415	50,665	50,675	51,285	51,280	51,285	50,920	50,210	49,670

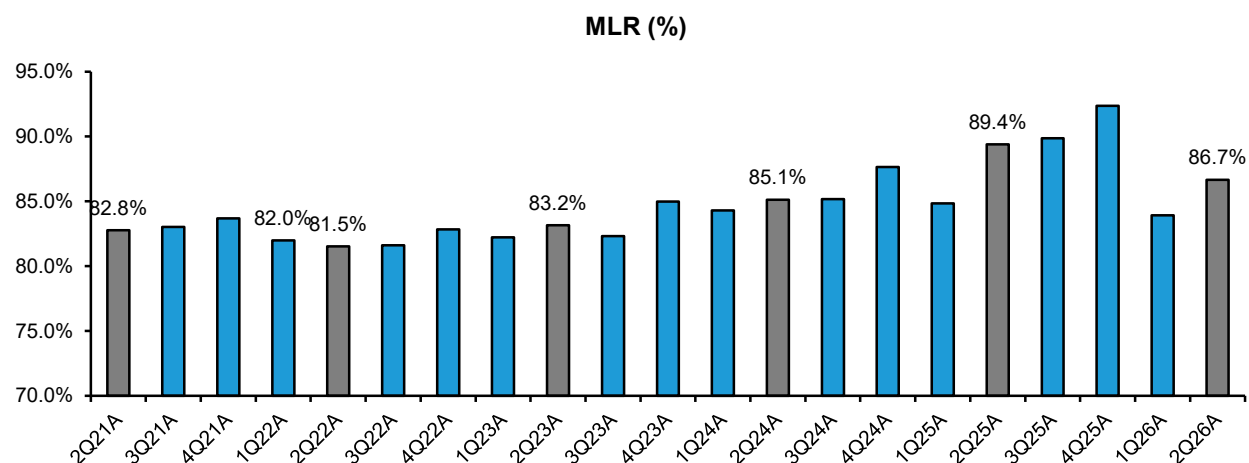
Source: Company reports, Bernstein analysis

- Optum Health (realigned segment) revenue declined by -5.1% YoY to \$23.47 bn.
- Optum Insight (realigned segment) revenue increased by 3.2% YoY to \$5.4 bn.
- Optum Rx revenue decreased by -0.4% YoY to \$38.29 bn.
- Optum Rx adjusted script volume increased to 387 million scripts, up 1.2% QoQ.

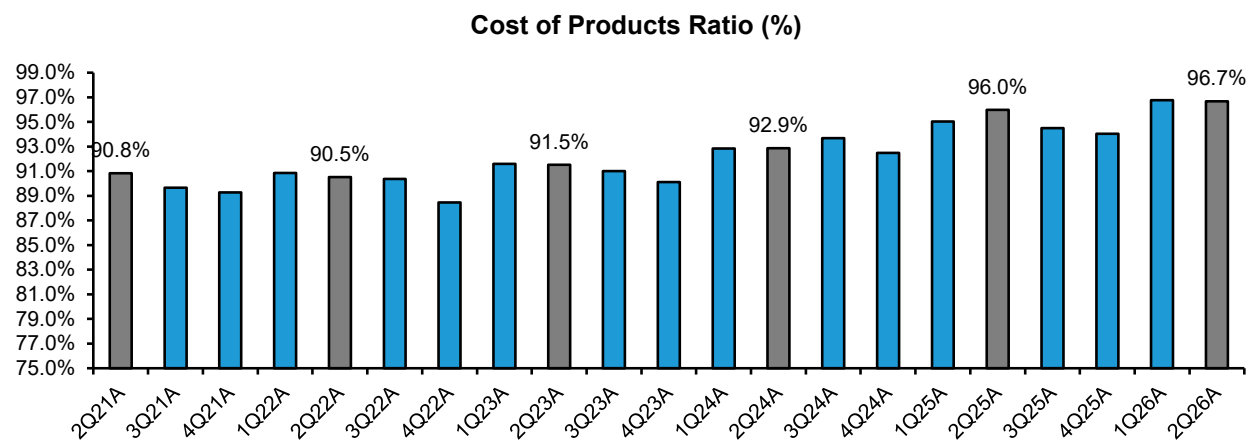
EXHIBIT 39: **Optum Quarterly Revenue (\$bn)**

Source: Company reports, Bernstein analysis

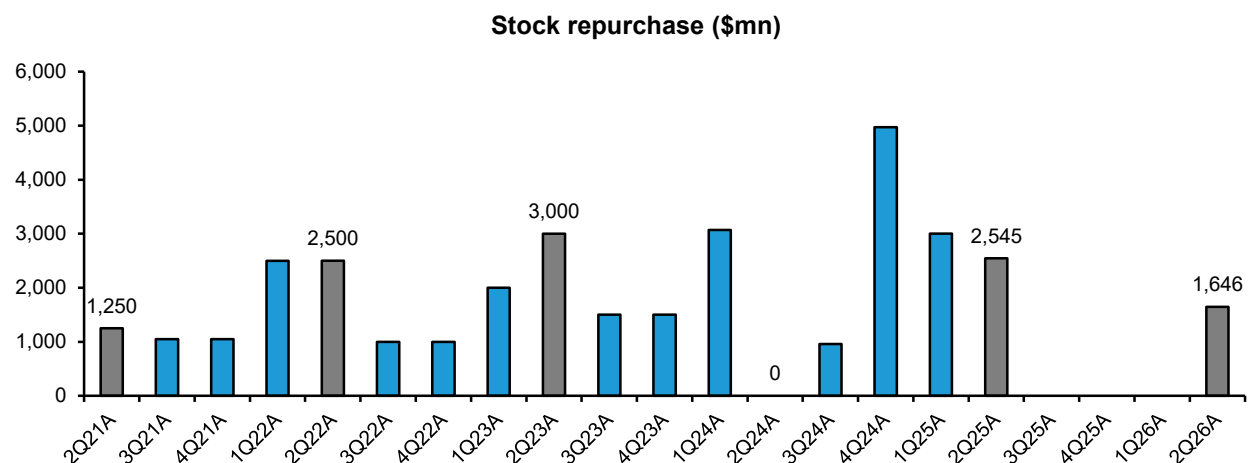
At 86.7%, Medical costs were below consensus estimate of 88.4% and also below our estimate of 88.0% for MLR.

EXHIBIT 40: **UNH Medical Loss Ratio**

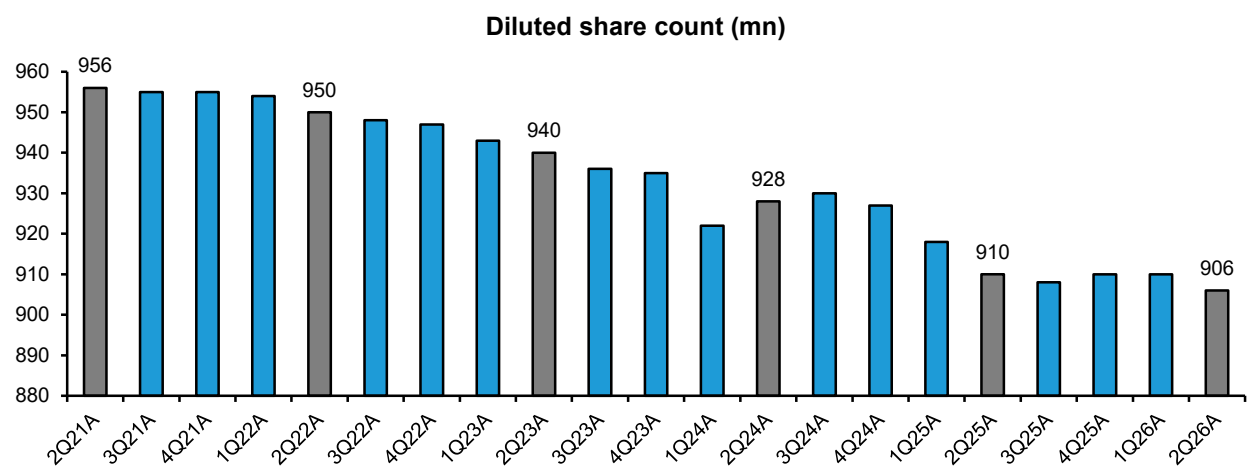
Source: Company reports, Bernstein analysis

EXHIBIT 41: **UnitedHealth Cost of Products Ratio**

Source: Company reports, Bernstein analysis

EXHIBIT 42: **UnitedHealth Stock Repurchases**

Source: Company reports, Bernstein analysis

EXHIBIT 43: **UnitedHealth Diluted Share Count**

Source: Company reports, Bernstein analysis

EXHIBIT 44: UNH - BERN estimates old vs new - Part 1

(\$mn)	FY25A	FY26E	FY27E	FY28E	FY29E
Revenues					
<u>Premiums</u>					
New	352,229	348,876	354,729	372,448	394,914
Old	352,229	351,655	361,673	378,662	400,100
Change	0	-2,779	-6,943	-6,214	-5,186
% Change	0.0%	(0.8%)	(1.9%)	(1.6%)	(1.3%)
<u>Services</u>					
New	38,038	41,216	42,770	45,707	48,987
Old	38,038	40,504	41,814	45,084	48,755
Change	0	713	956	622	232
% Change	0.0%	1.8%	2.3%	1.4%	0.5%
<u>Products</u>					
New	53,380	55,597	60,602	64,909	69,527
Old	53,380	56,621	62,638	68,371	74,633
Change	0	-1,025	-2,036	-3,462	-5,106
% Change	0.0%	(1.8%)	(3.3%)	(5.1%)	(6.8%)
<u>United Healthcare</u>					
New	344,903	345,351	351,727	368,388	389,290
Old	344,903	348,704	358,882	374,521	394,415
Change	0	-3,354	-7,155	-6,133	-5,125
% Change	0.0%	(1.0%)	(2.0%)	(1.6%)	(1.3%)
<u>Optum Overall</u>					
New	270,620	264,401	275,351	294,941	318,184
Old	270,620	261,979	277,075	301,417	329,128
Change	0	2,422	-1,724	-6,476	-10,944
% Change	0.0%	0.9%	(0.6%)	(2.1%)	(3.3%)
<u>Optum Health</u>					
New	101,957	95,642	100,727	106,973	115,963
Old	101,957	94,425	99,941	107,689	117,119
Change	0	1,217	786	-716	-1,156
% Change	0.0%	1.3%	0.8%	(0.7%)	(1.0%)
<u>Optum Insight</u>					
New	19,417	22,117	23,992	25,655	27,368
Old	19,417	21,106	22,267	23,642	25,225
Change	0	1,012	1,725	2,014	2,143
% Change	0.0%	4.8%	7.7%	8.5%	8.5%
<u>Optum Rx</u>					
New	154,726	152,455	156,934	169,064	182,136
Old	154,726	151,466	160,174	175,859	193,087
Change	0	989	-3,239	-6,796	-10,952
% Change	0.0%	0.7%	(2.0%)	(3.9%)	(5.7%)
<u>Investment and other Income</u>					
New	3,920	4,201	4,031	4,127	4,282
Old	3,920	4,043	4,330	4,262	4,493
Change	0	158	-299	-135	-210
% Change	0.0%	3.9%	(6.9%)	(3.2%)	(4.7%)
Total Revenues					
New	447,567	449,890	462,132	487,192	517,711
Old	447,567	452,824	470,454	496,380	527,982
Change	0	-2,933	-8,322	-9,188	-10,271
% Change	0.0%	(0.6%)	(1.8%)	(1.9%)	(1.9%)

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 45: UNH - BERN estimates old vs new - Part 2

(\$mn)	FY25A	FY26E	FY27E	FY28E	FY29E
Operating Costs					
<u>Medical Costs</u>					
New	313,995	307,341	311,408	325,738	344,600
Old	313,995	310,215	317,134	330,782	348,713
Change	0	-2,874	-5,726	-5,044	-4,113
% Change	0.0%	(0.9%)	(1.8%)	(1.5%)	(1.2%)
<u>Operating Costs</u>					
New	59,592	59,340	60,475	63,018	66,189
Old	59,592	59,962	61,440	64,075	67,626
Change	0	-622	-965	-1,057	-1,438
% Change	0.0%	(1.0%)	(1.6%)	(1.6%)	(2.1%)
<u>Cost of Products Sold</u>					
New	50,655	53,412	58,230	62,369	66,806
Old	50,655	54,157	59,921	65,406	71,397
Change	0	-745	-1,692	-3,037	-4,591
% Change	0.0%	(1.4%)	(2.8%)	(4.6%)	(6.4%)
Total Operating Costs					
New	428,603	424,160	433,867	454,815	481,276
Old	428,603	428,357	442,213	463,910	491,368
Change	0	-4,198	-8,346	-9,095	-10,092
% Change	0.0%	(1.0%)	(1.9%)	(2.0%)	(2.1%)
Earnings from Operations					
New	18,964	25,731	28,265	32,376	36,435
Old	18,964	24,466	28,241	32,469	36,614
Change	0	1,264	24	-93	-179
% Change	0.0%	5.2%	0.1%	(0.3%)	(0.5%)
Net Earnings to Shareholder					
New	12,056	16,919	18,499	21,707	24,913
Old	12,056	15,799	18,473	21,773	25,047
Change	0	1,120	27	-66	-134
% Change	0.0%	7.1%	0.1%	(0.3%)	(0.5%)
Adj. Net Earnings					
New	14,897	18,205	19,785	22,993	26,199
Old	14,897	17,049	19,723	23,023	26,297
Change	0	1,156	63	-30	-98
% Change	0.0%	6.8%	0.3%	(0.1%)	(0.4%)
Diluted Share Count					
New	911	904	894	885	876
Old	911	905	896	886	876
Change	0	-1	-2	-1	0
% Change	0.0%	(0.1%)	(0.2%)	(0.1%)	0.0%
Diluted EPS					
New	13.23	18.66	20.67	24.51	28.42
Old	13.23	17.43	20.60	24.56	28.58
Change	0.00	1.23	0.07	-0.05	-0.16
% Change	0.0%	7.1%	0.4%	(0.2%)	(0.6%)
Adjusted Diluted EPS					
New	16.35	20.11	22.11	25.96	29.88
Old	16.35	18.86	21.99	25.97	30.01
Change	0.00	1.25	0.12	-0.01	-0.12
% Change	0.0%	6.6%	0.5%	(0.0%)	(0.4%)

Source: Company reports, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 46: UNH Income Statement

BERNSTEIN															
SOCIÉTÉ GÉNÉRALE GROUP															
UnitedHealth Group															
Current Quarter:															
2Q26															
	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A	1Q26A	2Q26A	3Q26E	4Q26E	FY26E	FY27E	FY28E	FY29E	FY30E
Income Statement (\$mn)															
Revenue:															
Premiums	201,478	226,233	257,157	290,827	308,810	352,229	87,561	86,956	87,119	87,241	348,876	354,729	372,448	394,914	418,385
Services	20,016	24,603	27,551	34,123	36,040	38,038	9,779	10,018	10,651	10,768	41,216	42,770	45,707	48,987	52,523
Products	34,145	34,437	37,424	42,583	50,226	53,380	13,250	13,835	14,158	14,354	55,597	60,602	64,909	69,527	74,479
Investment and other Income	1,502	2,324	2,030	4,089	5,202	3,920	1,131	1,223	987	860	4,201	4,031	4,127	4,282	4,578
Total Revenue	257,141	287,597	324,162	371,622	400,278	447,567	111,721	112,032	112,915	113,222	449,890	462,132	487,192	517,711	549,966
YoY Growth (%)	6.2%	11.8%	12.7%	14.6%	7.7%	11.8%	2.0%	0.4%	-0.2%	0.0%	0.5%	2.7%	5.4%	6.3%	6.2%
Benefits and expenses:															
Health care costs	159,396	186,911	210,842	241,894	264,185	313,995	73,489	75,358	78,233	80,261	307,341	311,408	325,738	344,600	364,453
Total operating expenses	72,449	73,613	81,485	93,398	99,707	110,247	28,213	27,643	27,917	28,979	112,752	118,705	125,387	132,994	141,051
Total benefits and expenses	231,845	260,524	292,327	335,292	363,892	424,242	101,702	103,001	106,150	109,240	420,093	430,113	451,125	477,594	505,504
EBITDA	25,296	27,073	31,835	36,330	36,386	23,325	10,019	9,031	6,765	3,982	29,797	32,018	36,067	40,116	44,461
EBIT	22,405	23,970	28,435	32,358	32,287	18,964	8,990	7,991	5,746	3,003	25,731	28,265	32,376	36,435	40,740
Operating Earnings Before Income Taxes	20,742	22,310	26,343	29,112	20,071	14,697	7,963	6,968	4,784	2,032	21,747	24,379	28,490	32,548	36,853
Income Taxes	4,973	4,578	5,704	5,968	4,829	1,890	1,482	1,298	885	376	4,041	5,120	5,983	6,835	7,739
Tax Rate (%)	24.0%	20.5%	21.7%	20.5%	24.1%	12.9%	18.6%	18.6%	18.5%	18.5%	18.6%	21.0%	21.0%	21.0%	21.0%
Net Earnings	15,769	17,732	20,639	23,144	15,242	12,807	6,481	5,670	3,899	1,656	17,706	19,259	22,507	25,713	29,114
YoY Growth (%)	10.7%	12.4%	16.4%	12.1%	(34.1%)	(16.0%)	0.1%	58.7%	53.3%	659.5%	38.3%	8.8%	16.9%	14.2%	13.2%
Minority Interests	-366	-447	-519	-763	-837	-751	-201	-186	-200	-200	-787	-760	-800	-800	-800
Net Income Attributable to Shareholders	15,403	17,285	20,120	22,381	14,405	12,056	6,280	5,484	3,699	1,456	16,919	18,499	21,707	24,913	28,314
YoY Growth (%)	11.3%	12.2%	16.4%	11.2%	(35.6%)	(16.3%)	(0.2%)	61.0%	57.5%	nm	40.3%	9.3%	17.3%	14.8%	13.7%
Weighted Avg common shares - diluted	961	956	950	939	929	911	910	906	901	899	904	894	885	876	867
EPS - diluted	16.03	18.08	21.19	23.84	15.50	13.23	6.90	6.04	4.11	1.62	18.66	20.67	24.51	28.42	32.64
YoY Growth (%)	11.9%	12.8%	17.2%	12.5%	-35.0%	-14.6%	0.7%	61.5%	58.5%	-	41.0%	10.8%	18.6%	15.9%	14.9%
Adjusted EPS - diluted	16.88	19.02	22.20	25.11	27.66	16.35	7.23	6.39	4.44	2.05	20.11	22.11	25.96	29.88	34.12
YoY Growth (%)	11.7%	12.7%	16.7%	13.1%	10.2%	-40.9%	0.4%	56.6%	52.2%	-3.1%	23.0%	9.9%	17.4%	15.1%	14.2%
Consolidated MCR	79.1%	82.6%	82.0%	83.2%	85.5%	89.1%	83.9%	86.7%	89.8%	92.0%	88.1%	87.8%	87.5%	87.3%	87.1%
Operating Margin - Overall	8.7%	8.3%	8.8%	8.7%	8.1%	4.2%	8.0%	7.1%	5.1%	2.7%	5.7%	6.1%	6.6%	7.0%	7.4%
Net Margin	6.0%	6.0%	6.2%	6.0%	3.6%	2.7%	5.6%	4.9%	3.3%	1.3%	3.8%	4.0%	4.5%	4.8%	5.1%
Cash from Operating Activities	22,174	22,343	26,206	29,068	24,204	19,697	8,912	11,052	5,979	3,192	28,615	25,625	27,373	31,028	34,594
Membership ('000)															
Commercial															
Commercial - Risk	7,910	7,985	8,015	8,074	8,756	8,364	7,725	7,655	7,578	7,503	7,615	7,128	7,163	7,199	7,235
Commercial - Non-risk	18,310	18,595	18,520	19,199	20,855	21,524	22,340	22,265	22,376	22,399	22,345	22,544	22,838	23,136	23,437
Total Commercial	26,220	26,580	26,535	27,273	29,611	29,888	30,065	29,920	29,955	29,901	29,960	29,672	30,001	30,335	30,672
Commercial YoY Growth (%)															
Commercial - Risk	-7.8%	0.9%	0.4%	0.7%	8.5%	-4.5%	-8.1%	-9.3%	-10.2%	-8.1%	-8.9%	-6.4%	0.5%	0.5%	0.5%
Commercial - Non-risk	(4.6%)	1.6%	(0.4%)	3.7%	8.6%	3.2%	3.5%	3.4%	4.1%	4.3%	3.8%	0.9%	1.3%	1.3%	1.3%
Total Commercial	(5.5%)	1.4%	(0.2%)	2.8%	8.6%	0.9%	0.2%	(0.2%)	0.1%	0.8%	0.2%	(1.0%)	1.1%	1.1%	1.1%
Government															
Medicare Advantage	5,710	6,490	6,994	7,619	7,796	8,369	7,555	7,565	7,489	7,452	7,515	7,761	8,270	8,896	9,569
Medicaid	6,620	7,655	7,994	8,161	7,494	7,475	7,160	6,780	6,712	6,645	6,824	6,398	6,262	6,255	6,286
Medicare Supplement (Standardized)	4,460	4,395	4,364	4,338	4,334	4,300	4,270	4,260	4,250	4,240	4,255	4,240	4,282	4,325	4,369
Total Government	16,790	18,540	19,351	20,118	19,624	20,144	18,985	18,605	18,452	18,337	18,595	18,399	18,815	19,476	20,223
Government YoY Growth (%)															
Medicare Advantage	8.3%	13.7%	7.8%	8.9%	2.3%	7.3%	(8.4%)	(9.4%)	(11.2%)	(11.8%)	(10.2%)	3.3%	6.6%	7.6%	7.6%
Medicaid Growth	12.2%	15.6%	4.4%	2.1%	(8.2%)	(0.3%)	(5.4%)	(9.5%)	(10.0%)	(10.0%)	(8.7%)	(6.3%)	(2.1%)	(0.1%)	0.5%
Total Government	7.1%	10.4%	4.4%	4.0%	(2.5%)	2.6%	(5.7%)	(7.6%)	(8.6%)	(8.8%)	(7.7%)	(1.1%)	2.3%	3.5%	3.8%
Total Risk	24,700	26,525	27,366	28,191	28,380	28,508	26,710	26,260	26,030	25,840	26,210	25,526	25,978	26,675	27,458
Total Non-risk	18,310	18,595	18,520	19,199	20,855	21,524	22,340	22,265	22,376	22,399	22,345	22,544	22,838	23,136	23,437
Total Health (Excl. International)	43,010	45,120	45,886	47,390	49,235	50,031	49,050	48,525	48,406	48,238	48,555	48,071	48,816	49,810	50,896
YoY Growth (%)	(1.0%)	4.9%	1.7%	3.3%	3.9%	1.6%	(2.1%)	(3.2%)	(3.4%)	(3.1%)	(3.0%)	(1.0%)	1.6%	2.0%	2.2%

Source: Company filings; Bernstein analysis and estimates

EXHIBIT 47: UNH - Balance Sheet and Cash Flow Statement

BERNSTEIN

SOCIETE GENERALE GROUP UnitedHealth Group

Current Quarter:

Balance Sheet (\$mn)	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A	1Q26A	2Q26A	3Q26E	4Q26E	FY26E	FY27E	FY28E	FY29E	FY30E
Cash and short-term investments	19,781	23,907	27,911	29,628	29,113	28,121	31,229	31,468	31,636	31,539	31,539	39,900	48,803	59,011	69,746
Accounts receivable, net	12,870	14,216	17,681	21,276	22,365	23,018	26,587	21,573	22,583	22,644	22,644	23,464	24,765	26,321	27,959
Other Current Assets	21,067	23,635	23,477	27,533	34,301	39,443	33,311	33,819	33,311	33,819	33,819	33,819	33,819	33,819	33,819
Total Current Assets	53,718	61,758	69,069	78,437	85,779	90,582	91,127	86,860	87,530	88,002	88,002	97,183	107,388	119,151	131,524
Long-term Investments	41,242	43,114	43,728	47,609	52,354	54,251	56,788	57,716	58,276	58,837	58,837	61,128	63,543	66,624	70,442
PP&E (net)	8,594	9,079	9,698	10,613	11,604	12,527	12,580	12,777	12,976	13,167	13,167	13,173	13,341	13,669	14,132
Goodwill	71,337	75,795	97,775	107,911	121,319	125,828	125,828	125,926	125,926	125,926	125,926	125,926	125,926	125,926	125,926
Other intangible assets (net)	10,856	10,044	8,970	7,469	5,877	4,215	3,896	3,459	3,047	2,684	2,684	2,220	1,837	1,520	1,257
Other Long-term Assets	11,510	12,526	16,466	21,682	21,345	22,178	22,425	22,990	22,990	22,990	22,990	22,990	22,990	22,990	22,990
Total Assets	197,289	212,206	245,705	273,720	298,278	309,581	312,644	309,727	310,744	311,606	311,606	322,620	335,024	349,879	366,270
Medical Costs Payable	21,872	24,483	29,056	32,395	34,224	39,337	39,659	38,930	40,415	41,463	41,463	44,517	46,594	49,308	52,149
Short-term debt	4,819	3,620	3,110	4,274	4,545	6,069	6,477	3,827	3,827	3,827	3,827	3,827	3,827	3,827	3,827
Accounts payable and accrued liabilities	22,495	24,643	0	0	0	0	0	0	0	0	0	0	0	0	0
Other policy liabilities	20,392	22,975	0	0	0	0	0	0	0	0	0	0	0	0	0
Unearned revenues	2,842	2,571	0	0	0	0	0	0	0	0	0	0	0	0	0
Other current liabilities	45,729	50,189	57,071	62,385	65,000	69,491	67,988	69,063	69,063	69,063	69,063	69,063	69,063	69,063	69,063
Total Current Liabilities	72,420	78,292	89,237	99,054	103,769	114,897	114,124	111,820	113,305	114,353	114,353	117,407	119,484	122,198	125,039
Long-term debt	38,648	42,383	54,513	58,263	72,359	72,320	71,440	69,501	69,501	69,501	69,501	69,501	69,501	69,501	69,501
Other long-term liabilities	17,893	16,486	20,505	21,982	23,882	22,274	23,185	23,893	23,893	23,893	23,893	23,893	23,893	23,893	23,893
Total Liabilities	128,961	137,161	164,255	179,299	200,010	209,491	208,749	205,214	206,699	207,747	207,747	210,801	212,878	215,592	218,433
Total Shareholders' Equity	68,328	75,045	81,450	94,421	98,268	100,090	103,895	104,513	104,045	103,858	103,858	111,819	122,146	134,287	147,837
Total Liabilities and Shareholder's Equity	197,289	212,206	245,705	273,720	298,278	309,581	312,644	309,727	310,744	311,606	311,606	322,620	335,024	349,879	366,270
Debt-to-Capital Ratio	38.9%	38.0%	41.4%	39.8%	43.9%	43.9%	42.9%	41.2%	41.3%	41.4%	41.4%	39.6%	37.5%	35.3%	33.2%
ROE	24.5%	24.7%	26.4%	26.3%	15.8%	12.9%	6.4%	5.4%	3.7%	1.6%	17.4%	17.9%	19.2%	20.1%	20.6%
ROIC	17.0%	18.2%	19.2%	18.7%	10.8%	8.4%	4.2%	3.7%	2.6%	1.1%	11.7%	13.0%	15.1%	17.1%	19.0%
Cash Flow Statement (\$mn)	FY20A	FY21A	FY22A	FY23A	FY24A	FY25A	1Q26A	2Q26A	3Q26E	4Q26E	FY26E	FY27E	FY28E	FY29E	FY30E
Net Earnings	15,769	17,732	20,639	23,144	15,242	12,807	6,481	5,670	3,699	1,456	16,919	18,499	21,707	24,913	28,314
Depreciation and Amortization	2,891	3,103	3,400	3,972	4,099	4,361	1,029	1,040	1,019	979	4,067	3,753	3,690	3,682	3,722
Share-Based Compensation	679	800	925	1,059	1,018	971	348	276	278	279	1,181	1,138	1,200	1,275	1,355
Net Changes in Working Capital	2,895	1,522	2,246	1,643	-808	2,282	746	4,065	983	479	6,273	2,234	776	1,158	1,203
Other Operating Adjustments	-60	-814	-1,004	-750	4,653	-724	308	1	0	0	176	0	0	0	0
Cash flows from Operating Activities	22,174	22,343	26,206	29,068	24,204	19,697	8,912	11,052	5,979	3,192	28,615	25,625	27,373	31,028	34,594
Net Purchases of Investments	-2,836	-1,843	-6,837	-1,777	525	361	-2,352	-399	-560	-562	-3,872	-2,291	-2,415	-3,081	-3,818
Capital Expenditure	-2,051	-2,454	-2,802	-3,386	-3,499	-3,622	-763	-799	-805	-807	-3,175	-3,296	-3,475	-3,692	-3,922
Acquisitions	-7,139	-4,821	-21,458	-10,136	-13,408	-4,509	0	-98	0	0	-98	0	0	0	0
Other Investing Activities	-506	-1,254	2,621	-275	4,888	-2,595	586	-617	0	0	-31	0	0	0	0
Cash Flows from Investing Activities	-12,532	-10,372	-28,476	-15,574	-20,527	-8,685	-2,447	-1,798	-1,365	-1,369	-6,979	-5,586	-5,890	-6,773	-7,740
Stock Repurchases	-4,250	-5,000	-7,000	-8,000	-9,000	-5,545	0	-1,646	-2,500	-1,000	-5,146	-5,500	-6,000	-7,000	-8,000
Dividends	-4,584	-5,280	-5,991	-6,761	-7,533	-7,916	-2,005	-2,087	-2,145	-1,121	-7,358	-6,937	-7,380	-7,848	-8,919
Net Change in Debt	2,586	2,481	12,536	4,280	14,660	726	-400	-4,413	0	0	-4,813	0	0	0	0
Other Financing Activities	2,658	344	4,681	-1,048	-1,639	1,091	-587	-477	200	200	-664	760	800	800	800
Cash Flows from Financing Activities	-3,590	-7,455	4,226	-11,529	-3,512	-11,644	-2,992	-8,623	-4,445	-1,921	-17,981	-11,677	-12,580	-14,048	-16,119
Net Changes in Cash	5,936	4,454	1,990	2,062	104	-592	3,480	621	168	-98	4,172	8,362	8,903	10,208	10,735
FCF	20,123	19,889	23,404	25,682	20,705	16,075	8,149	10,253	5,173	2,385	25,440	22,329	23,899	27,336	30,672

Source: Company filings; Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	17 Jul 2026	Price	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
UNH (UNH)	O	USD	426.09	512.00	32.3%	USD	16.35	20.11	22.11	26.1	21.2	19.3
OLD				492.00				18.86	21.99			
SPX			7,457.69									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**UnitedHealth Group Inc**

For UNH, our preferred valuation methodology is relative (to S&P) price-to-forward-earning (P/FE) due to the predictive NTM results in quantile analysis across time periods, as well as the relatively strong and stable earnings generating capability of the companies' mature business. We base the companies' valuation on our EPS estimates 12-months forward, multiply it by the respective absolute P/FE ratio for each company to arrive at our price target. Specifically, we arrive at a price target of \$512 for UNH as we apply multiple of 21.25x to NTM ("Next Twelve Months") adj EPS of \$24.08. In addition, we acknowledge that our coverage companies generate healthy amounts of cash and often maintain relatively conservative balance sheets, suggesting potential further upside through effective capital allocation over the investment horizon.

RISKS**UnitedHealth Group Inc**

Downside risks to our price target include: Higher medical utilization, recession and COVID impacts which impact business volumes and costs; increased govt scrutiny on industry consolidation, PBM volume losses from health plans clients leaving UNH; inability to generate and maintain PBM cost savings; unanticipated reduction in government spending for Medicaid or Medicare.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors

on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

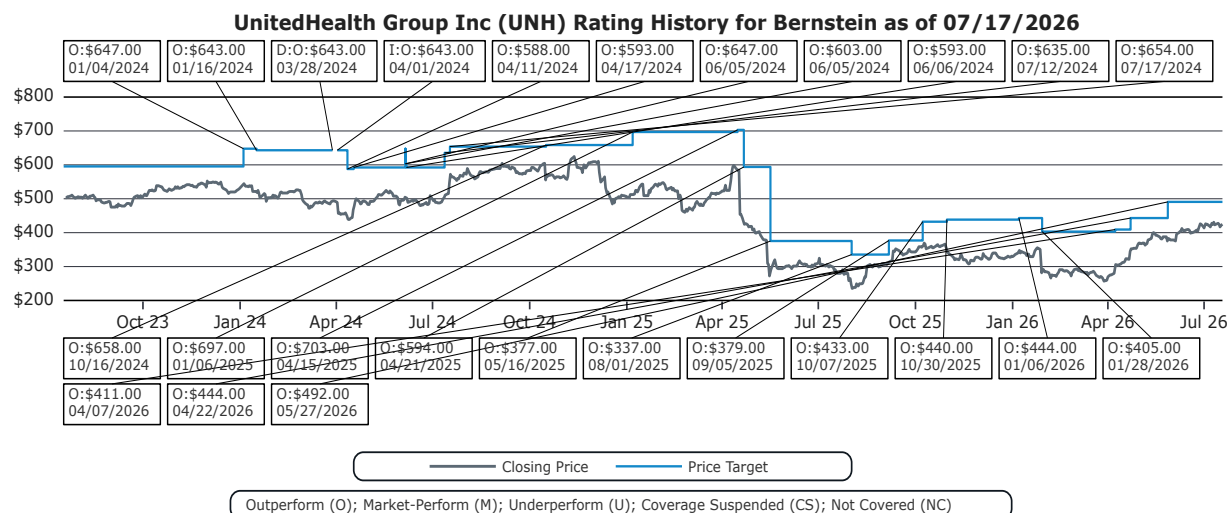
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

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